

OVERVIEW

In New York State, borrowers may refinance a mortgage by assignment or Consolidation, Extension and Modification Agreement (CEMA). A CEMA loan combines into one set of rights and obligations all the promises and agreements stated in existing Notes and Mortgages secured by the mortgaged premises, including, any new funds (new money mortgage) advanced to the borrower at the time of the consolidation.

KEY FEATURES

- When a borrower refinances using a NY CEMA, the borrower will only pay mortgage tax on the new money mortgage.
- The borrower will not be required to pay mortgage tax on the amount of the existing mortgage balance.
- The current lender must agree to assign the existing mortgage(s) in order for the borrower to refinance using a CEMA.
- **HELOC Loans – CEMA's are not available on HELOC loans. If there is an existing 2nd lien HELOC on the prior loan, the 1st lien of the prior loan can be refinanced as a CEMA as long as the 2nd lien is paid in full and closed.**
- **Flagstar does not allow CEMA's on purchase transactions, construction or construction to perm loans, USDA products or Cooperatives.**

CLOSING DOCUMENTS

Closing documents must be prepared using WBCD. The CEMA, 275 Affidavit, New/Gap Money Note and New/Gap Money Mortgage will be included in the WBCD document package. **An Exhibit A and 255 Affidavit will need to be prepared separately** by the **CEMA** Settlement Agent/Attorney.

CEMA SETTLEMENT AGENT/ATTORNEY RESPONSIBILITY

The originator is responsible to communicate the following instructions to the Settlement Agent/Attorney:

- Obtain all proper documentation from the previous lender including properly endorsed Notes. This documentation must be obtained prior to closing.
- Obtain all prior documentation, including missing and/or required Assignments prior to closing. Any missing Assignments must be executed and all Assignments must be recorded on or before closing.
- A statement from the Settlement Agent/Attorney is required attesting that all prior collateral has been reviewed and is approved.
- Complete and execute the CEMA document with all exhibits per instruction, including Exhibit A, the Consolidated Note, the New Money/Gap Note, New Money/Gap Mortgage, and the 255 Affidavit along with instructions.
- Aid in resolving any post-closing deficiencies
- Assignment **Release** requests **must be submitted as soon as possible but no later than 5 business days** prior to the anticipated closing date to CEMAPostClosing@flagstar.com. **The CEMA team will advise if more time is required to process the Assignment.** The Assignment **Release** request must **include** the borrowers name, prior loan number, **and** new loan number. **A draft** Assignment is created and emailed to the Settlement Agent/Attorney by the CEMA team **for their review. Upon approval, the Settlement Agent/Attorney is required to provide a shipping label** before it can be executed and shipped. The Settlement Agent/Attorney is responsible for recording **all applicable assignments**.

CLOSING PACKAGE DELIVERY

The Closing Package must include:



NY CEMA Procedures

- All prior endorsed original Notes(s), CEMAs, and copy of recorded Mortgages, if applicable. If original recorded documents are not available, County Certified copies of the recorded documents are acceptable.
- **All executed Assignments, previously recorded or sent for recording. Certified True Copy stamp must have initials or signature on/near stamp.**
- Original executed and endorsed Gap/New Money Note
- Original executed and endorsed Consolidated Note, including the verbiage required by the Fannie Mae/Freddie Mac instruction page that comes with the CEMA Form 3172 1/01 (rev. 5/01). Do Not Stamp Exhibit C.
- Certified True Copy of the executed CEMA and Exhibit A, B, C and D, if loan did not close in the name of Flagstar Bank.
- Original CEMA with Exhibits A, B, C, D if the loan closed in the name of Flagstar Bank. Original will be returned to sender for recording once signed by Flagstar Bank.
- Copy of the fully-executed 255 Affidavit. Certified True Copy stamp must have initials or signature on/near stamp.
- Copy of the Gap/New Money Mortgage. Certified True Copy stamp must have initials or signature on/near stamp.
- Copy of Power of Attorney, if applicable. Certified True Copy stamp must have initials or signature on/near stamp.

SEND INITIAL CLOSING PACKAGES/PRIOR COLLATERAL TO

Flagstar Bank, N.A..
5151 Corporate Drive
Troy, MI 48098
Attention: Post Closing Receiving Department, Mail Stop: W-800-1
Include current loan number when sending prior collateral

TO CURE CEMA-RELATED POST CLOSING DEFICIENCIES THAT REQUIRE ORIGINAL COLLATERAL, SEND CONDITIONS TO

Flagstar Bank, N.A..
5151 Corporate Dr.
Troy, MI 48098
Attn: Kristina Weddington/CEMA, Mail Stop W-520-1
Include current loan number for conditions

Packages not received in a timely manner may delay recording and disbursement of the loan. CEMA should not be sent for recording until all CEMA post closing deficiencies are satisfied.

CEMA CONTACT INFORMATION

For CEMA post-closing assistance, contact Flagstar's CEMA Post Closing Team at CEMAPostClosing@flagstar.com.